2024 Form 1040 – Preparer Package for Senior Review

Clients: Robert Smith Jr. and Lisa Marie Smith · 123 Smith Street, San Antonio, TX 78253 (Bexar County) · Filing status: Married Filing Jointly

Status: DRAFT prepared from client-provided documents and intake questionnaire; not yet reviewed or signed. No records were found in the workspace folder (it was empty), so the client documents in reference_files/ are the only source. Amounts are rounded to whole dollars as permitted on the Form 1040; Form 1040 line references follow the 2024 form.

1. Result at a glance

Total income (Form 1040 line 9)	361,246
Adjusted gross income (line 11)	360,946
Standard deduction (line 12) and QBI deduction (line 13)	29,243
Taxable income (line 15)	331,703
Total tax (line 24) – includes NIIT and Additional Medicare Tax	58,571
Total payments (line 33) – withholding, 2024 estimates, excess Social Security	43,192
AMOUNT OWED (line 37)	**15,379**

2. Contents of this PDF (forms to be e-filed with the Form 1040)

Form 1040 · Schedule 1 · Schedule 2 · Schedule 3 · Schedule B · Schedule D · Form 8949 · Schedule 8812 · Form 2441 · Form 8995 · Form 8959 · Form 8960 · supporting worksheets (Qualified Dividends and Capital Gain Tax Worksheet, source-document tie-out). **Format note:** these are line-for-line facsimiles of the IRS forms built for review, because IRS fillable forms were not available offline. Before transmission the figures must be keyed into the firm's e-file software, which generates the official forms and the Form 8879 signature authorization (retained, not transmitted). Forms considered and **not** required: 1116 (foreign tax $211 is under the $600 joint de-minimis election, passive 1099-DIV income), 6251 (tentative minimum tax about $55,736 is below regular tax $62,878), 8889/8962/5695/8863/8880/1040-ES (not applicable on facts given), 2210 (not attached; see open item 3), Schedule A (itemizing does not beat the standard deduction on documented amounts), Schedule C/E/SE, FinCEN 114/8938 (no foreign accounts/assets per questionnaire), Texas has no individual income tax return.

3. Key positions taken

1. **Wages.** Three W-2s: Company X $132,465.05 (Robert), Zixbo Services Group $102,468.69 (Robert), Compress Middle School $92,068.87 (Lisa). Lisa's box 1 is $26,406.43 lower than boxes 3/5 ($118,475.30) because of a pre-tax elective deferral shown in box 12a; the code letter on the copy provided is not legible (a 403(b) deferral, code E, is the likely code). It does not change the return but should be confirmed. Box 12b DD ($57,342.01) is employer health-coverage cost, informational only. Retirement-plan box is checked for Lisa, so no IRA deduction would apply (and the client made none).

2. **Excess Social Security tax (Schedule 3 line 11).** Robert had two employers; combined Social Security wages $234,933.74 exceed the $168,600 wage base. Tax withheld $14,565.89 less maximum $10,453.20 = **$4,112.69** refundable credit.

3. **Additional Medicare Tax (Form 8959) and Net Investment Income Tax (Form 8960).** Combined Medicare wages $353,409 exceed $250,000 (MFJ) by $103,409: 0.9% = $931; no employer withheld any Additional Medicare Tax (each W-2 is under $200,000, box 6 = exactly 1.45%). NIIT: MAGI $360,946 exceeds $250,000 by $110,946; net investment income $34,243 is smaller, so 3.8% x $34,243 = $1,301.

4. **Capital gains.** Robert: 11 shares EXSTCK, short-term, proceeds $56.78, basis $6,750.88, loss $(6,694). Lisa: 18 shares Blu-For Corp, long-term (held 4/8/2019–8/25/2024), proceeds $43,877.03, basis $11,268.00, wash-sale loss disallowed $468.41 (code W adjustment, added to gain), gain $33,077. Both are covered securities with basis reported to the IRS (Form 8949 boxes A and D). Net gain $26,383 taxed at 15% via the Qualified Dividends and Capital Gain Tax Worksheet together with $4,898 qualified dividends.

5. **Foreign tax credit.** Lisa's 1099-DIV box 7 foreign tax $211.05 claimed directly on Schedule 3 line 1 without Form 1116 (qualified payee-statement exception, $600 MFJ limit).

6. **Child Tax Credit.** Robert III (b. 4/7/2018), Melissa (b. 4/7/2018) and Judith (b. 6/9/2010) are all under 17 at year-end, lived with the clients all year, SSNs provided: 3 x $2,000 = $6,000. MAGI $360,946 is under the $400,000 phase-out threshold, so no reduction. The credit is fully absorbed by tax, so there is no Additional Child Tax Credit.

7. **Child and dependent care credit (Form 2441).** Children First Child Care Center (EIN 45-4564564) was paid $2,240 in 2024. Only Robert III and Melissa were under 13 at year-end: $820 each = $1,640 qualifying expenses (Judith, age 14, does not qualify; her $600 is excluded). AGI over $43,000, so rate 20% = **$328**. Assumption: the childcare statement's "Robert Smith" is dependent Robert Smith III. No dependent-care FSA benefits (W-2 box 10 blank).

8. **Educator expense.** Lisa reported about $730 of classroom expenses; the deduction is capped at $300 per eligible educator (Schedule 1 line 11). The excess is not deductible (unreimbursed employee expenses are not allowed after 2017). Assumes Lisa meets the K-12 educator hours test (middle school teacher); client to confirm.

9. **QBI deduction (Form 8995).** Lisa's 1099-DIV box 5 reports $214.79 of Section 199A (REIT) dividends; 20% = **$43** on Form 1040 line 13 using the simplified Form 8995 (taxable income is below the $383,900 MFJ threshold; no trade or business income).

10. **Student loan interest ($4,312, Form 1098-E).** Deduction is $0 because MAGI exceeds the $195,000 MFJ phase-out end for 2024. Not claimed.

11. **Long-term-care premiums ($5,500 each, paid 12/21/2024).** Not an above-the-line deduction (clients are employees, not self-employed). As medical expense they are limited by age (Robert 50 and Lisa 48 at 12/31/2024: $880 each, $1,760 total) and are far below the 7.5% of AGI floor ($27,071), so they produce no benefit.

12. **Standard vs. itemized.** Documented itemized deductions: mortgage interest $17,678.69 (1098, principal $565,774, originated 5/6/2020, within the $750,000 limit) + real estate taxes $6,748.32 (from 1098 box 10) + charity $4,300 (Red Cross $2,500 + church $150 x 12 = $1,800) = $28,727.01, which is $472.99 less than the $29,200 standard deduction. Standard deduction used.

13. **Payments.** Federal withholding $25,394 (9,642.23 + 7,465.85 + 8,286.20). Estimated tax payments: 4/2/2024 $3,380, 7/4/2024 $3,275, 10/2/2024 $3,455 and 1/5/2025 $3,575 = **$13,685**. The 1/5/2025 payment is the fourth-quarter 2024 installment (due 1/15/2025) and is a 2024 payment even though it was made in 2025.

14. **Refund method.** Clients declined direct deposit; because a balance is due, the return shows a payment due (pay via Direct Pay/EFTPS or check with Form 1040-V; due date April 15, 2025 – interest and late-payment penalty accrue on any amount paid later).

4. Open items / assumptions for senior review (nothing below has been invented; items are flagged, not resolved)

1. **Sales-tax election could beat the standard deduction.** Texas has no income tax, so SALT = real estate tax $6,748.32 plus, if elected, the IRS optional sales-tax amount. The IRS table amount for TX/Bexar, household of 5, income over $200,000 was not available offline and the clients gave no actual sales-tax records. Itemizing needs only $473 more of SALT to exceed $29,200; the table amount probably does, in which case itemizing would add a small deduction (SALT would stay under the $10,000 cap: $6,748 + table amount). Please check the table, and if itemizing is better, add Schedule A and recompute lines 12–16, the QDCGT worksheet, Form 8960 (unchanged), and tax. The return as drafted uses the standard deduction. Charity also assumes written acknowledgments exist for the Red Cross gift and the church giving (required for gifts of $250 or more); none were provided.

2. **Robert's 1099-B (L&R Investment Advisors):** proceeds of $56.78 against basis $6,750.88 on 11 shares bought 3/8/2024 and sold 7/6/2024 are unusual (99% loss). Reported as shown on the 1099-B; confirm with the client that the proceeds figure is not a typo/worthless-security treatment. If proceeds were different, Schedule D, Form 8949, tax, NIIT (Form 8960) and the QDCGT worksheet change.

3. **Underpayment penalty (Form 2210) not computed.** The 2023 return was not provided, so the prior-year safe harbor (110% of 2023 tax because 2023 AGI is likely over $150,000) cannot be tested. On the 90% current-year test (90% of $58,571 = $52,714) payments of $39,079 withholding plus estimates fall short, and the 7/4/2024 and 10/2/2024 estimates were made after their 6/17 and 9/16 due dates. A penalty is therefore possible (likely several hundred dollars). Line 38 is left blank; please obtain the 2023 return, run Form 2210 and add any penalty to line 38 and the amount owed.

4. **Lisa's W-2 box 12a code** is not legible (see item 1 above); amount $26,406.43. 12b code DD $57,342.01.

5. **Document discrepancies to confirm with clients:** (a) Lisa's 1099-DIV payer TIN reads 11-75252525 (10 digits) versus 11-7525252 on the Yellow Rose Bank 1099-INTs – likely a typo on the form, no effect on amounts. (b) LTC insurer letter shows ZIP 78523; all other documents and the questionnaire show 78253 (used). (c) The mortgage statement is printed 'Rev. April 2025' but is a 2024 statement; amounts used as shown. (d) Judith's name appears as 'JUDITHSMITH' on the questionnaire (entered Judith Smith); the clients' W-2s list Robert as 'Jr.' while the son is 'III'.

6. **Client answers relied on:** no foreign income/accounts, no digital-asset activity, not a dependent of anyone else, no 529/IRA/pension/Social Security/unemployment/marketplace insurance, no liens, did not move or buy property, all documents provided. Presidential Election Campaign checkboxes left blank (no instruction given). Third-party designee not designated.

7. No state return is required (Texas). Dependents' dates of birth and SSNs are taken from the questionnaire; verify SSN cards before e-filing since mismatches cause rejection.

1040

U.S. Individual Income Tax Return
Department of the Treasury – Internal Revenue Service · OMB No. 1545-0074

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Filing status, names and address

Filing status: **[X] Married filing jointly** (not separate, HoH, single or QSS). Someone can claim you as a dependent: No / No.

Your first name and last name: **ROBERT SMITH JR.** · SSN **333-44-5555** · Spouse: **LISA MARIE SMITH** · SSN **444-55-6666**

Home address: **123 SMITH STREET, SAN ANTONIO, TX 78253** (Bexar County). Foreign address: none.

Presidential Election Campaign: not elected (no instruction). Digital assets (Yes/No): **No** (received, sold, exchanged or disposed of any digital asset).

Dependents (see instructions)

(1) **ROBERT SMITH III** · SSN 111-22-7777 · Son · Child tax credit [X]

(2) **MELISSA SMITH** · SSN 222-33-7777 · Daughter · Child tax credit [X]

(3) **JUDITH SMITH** · SSN 777-88-9999 · Daughter · Child tax credit [X]

Income

1a	Total amount from Form(s) W-2, box 1 (Company X $132,465; Zixbo $102,469; Compress MS $92,069)	327,003
1b–1h	Household employee, tip, Medicaid waiver, dependent-care benefits, 8919, other earned income	0
1z	Add lines 1a through 1h	327,003
2a	Tax-exempt interest	0
2b	Taxable interest (Schedule B)	1,116
3a	Qualified dividends	4,898
3b	Ordinary dividends (Schedule B)	6,744
4a/4b	IRA distributions	0
5a/5b	Pensions and annuities	0
6a/6b	Social Security benefits	0
7	Capital gain or (loss) – Schedule D line 16	26,383
8	Additional income from Schedule 1, line 10	0
9	**Add lines 1z, 2b, 3b, 4b, 5b, 6b, 7, and 8. This is your total income**	**361,246**

Adjusted gross income and deductions

10	Adjustments to income from Schedule 1, line 26 (educator expenses)	300
11	**Subtract line 10 from line 9. This is your adjusted gross income**	**360,946**
12	Standard deduction or itemized deductions (Married filing jointly standard deduction)	29,200
13	Qualified business income deduction (Form 8995 – REIT dividends, 1099-DIV box 5)	43
14	Add lines 12 and 13	29,243
15	**Subtract line 14 from line 11. This is your taxable income**	**331,703**

Tax and credits (page 2)

16	Tax – Qualified Dividends and Capital Gain Tax Worksheet (no Form 8814/4972)	62,878
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	62,878
19	Child tax credit or credit for other dependents from Schedule 8812	6,000
20	Amount from Schedule 3, line 8	539
21	Add lines 19 and 20	6,539
22	Subtract line 21 from line 18. If zero or less, enter -0-	56,339
23	Other taxes, including self-employment tax, from Schedule 2, line 21	2,232

24	**Add lines 22 and 23. This is your total tax**	**58,571**
Payments		
25a	Federal income tax withheld from Form(s) W-2	25,394
25b	Form(s) 1099	0
25c	Other forms	0
25d	Add lines 25a through 25c	25,394
26	2024 estimated tax payments and amount applied from 2023 return	13,685
27	Earned income credit (EIC)	0
28	Additional child tax credit from Schedule 8812	0
29	American opportunity credit from Form 8863, line 8	0
30	Reserved for future use	
31	Amount from Schedule 3, line 15 (excess Social Security tax withheld)	4,113
32	Add lines 27, 28, 29, and 31. These are your total other payments and refundable credits	4,113
33	**Add lines 25d, 26, and 32. These are your total payments**	**43,192**
Refund / Amount you owe		
34	If line 33 is more than line 24, amount overpaid	0
35a	Amount of line 34 you want refunded to you (clients declined direct deposit; n/a)	0
36	Amount of line 34 you want applied to your 2025 estimated tax	0
37	**Subtract line 33 from line 24. This is the amount you owe**	**15,379**
38	Estimated tax penalty (Form 2210 not completed – see review memo open item 3)	
Third party designee / Sign here / Paid preparer		
	Third-party designee: No. Taxpayer occupation: **Salesman** · phone 222-867-5309 · email BOBSMITH@SMITH.COM	
	Spouse occupation: **Teacher** · phone 999-867-5309 · email LISASMITH@SMITH.COM. Signatures/date: pending (Form 8879 to be signed after senior review).	
	Paid preparer: [firm / PTIN to be completed by the firm].	

Sched. 1

Additional Income and Adjustments to Income
Attach to Form 1040, 1040-SR, or 1040-NR. Filed with Form 1040.

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Part I – Additional Income

1	Taxable refunds, credits, or offsets of state and local income taxes	0
2a	Alimony received	0
3	Business income or (loss) (Schedule C)	0
4	Other gains or (losses) (Form 4797)	0
5	Rental real estate, royalties, partnerships, S corporations, trusts (Schedule E)	0
6	Farm income (Schedule F)	0
7	Unemployment compensation	0
8a–8z	Other income (none)	0
9	Total other income	0
10	**Combine lines 1 through 7 and 9. Enter here and on Form 1040, line 8**	**0**

Part II – Adjustments to Income

11	Educator expenses (Lisa Smith – $730 spent; limited to $300 per eligible educator)	300
12	Certain business expenses of reservists, performing artists, and fee-basis officials	0
13	Health savings account deduction (Form 8889)	0
14	Moving expenses for Armed Forces members	0
15	Deductible part of self-employment tax	0
16	Self-employed SEP, SIMPLE, and qualified plans	0
17	Self-employed health insurance deduction (LTC premiums are not eligible – clients are W-2 employees)	0
18	Penalty on early withdrawal of savings	0
19a	Alimony paid	0
20	IRA deduction	0
21	Student loan interest deduction (Form 1098-E $4,312; phased out – MAGI over $195,000 MFJ)	0
23–25	Archer MSA, other, and reserved lines	0
26	**Add lines 11 through 23 and 25. Enter here and on Form 1040, line 10**	**300**

Sched. 2

Additional Taxes
Attach to Form 1040, 1040-SR, or 1040-NR. Filed with Form 1040.

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** **SSN 333-44-5555 / 444-55-6666**

Part I – Tax		
1	Alternative minimum tax (Form 6251 – not required; tentative minimum tax is below regular tax)	0
2	Excess advance premium tax credit repayment (Form 8962)	0
3	**Add lines 1 and 2. Enter here and on Form 1040, line 17**	**0**
Part II – Other Taxes		
4	Self-employment tax (Schedule SE)	0
5	Social Security and Medicare tax on unreported tip income (Form 4137)	0
6	Uncollected Social Security and Medicare tax on wages (Form 8919)	0
7	Total additional Social Security and Medicare tax	0
8–10	Additional tax on IRAs, household employment taxes (Sch. H), repayment of first-time homebuyer credit	0
11	Additional Medicare Tax (Form 8959, line 18)	931
12	Net investment income tax (Form 8960, line 17)	1,301
13–16	Uncollected RRTA tax, 409A taxes, recapture taxes, other	0
17z	Other additional taxes (none)	0
18	Total additional taxes	2,232
21	**Add lines 4, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17z and 19 and 20. Enter here and on Form 1040, line 23**	**2,232**

Sched. 3

Additional Credits and Payments
Attach to Form 1040, 1040-SR, or 1040-NR. Filed with Form 1040.

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Part I – Nonrefundable Credits

1	Foreign tax credit – 1099-DIV box 7 $211.05 (Form 1116 not required: under $600 MFJ, passive income, payee-statement exception)	211
2	Credit for child and dependent care expenses (Form 2441, line 11)	328
3	Education credits (Form 8863, line 19)	0
4	Retirement savings contributions credit (Form 8880)	0
5a–5b	Residential clean energy / energy efficient home improvement credits	0
6a–6l	Other nonrefundable credits (none)	0
7	Total other nonrefundable credits	0
8	**Add lines 1 through 5, 6z and 7. Enter here and on Form 1040, line 20**	**539**

Part II – Other Payments and Refundable Credits

9	Net premium tax credit (Form 8962)	0
10	Amount paid with request for extension to file	0
11	Excess Social Security and tier 1 RRTA tax withheld (Robert: Company X $8,212.83 + Zixbo $6,353.06 = $14,565.89, less maximum $10,453.20)	4,113
12–14	Credit for federal tax on fuels, other refundable credits	0
15	**Add lines 9 through 14. Enter here and on Form 1040, line 31**	**4,113**

Sched. B

Interest and Ordinary Dividends
Attach to Form 1040 or 1040-SR if over $1,500 of taxable interest or ordinary dividends (or other triggers). Filed with Form 1040.

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Part I – Interest (Form 1099-INT, box 1)

1	Yellow Rose Bank – Robert Smith Jr. (acct ending 7878)	40
1	TX Lending Company – Robert Smith Jr.	108
1	Yellow Rose Bank – Lisa Marie Smith (acct ending 8989)	968
2	Add the amounts on line 1	1,116
3	Excludable interest on series EE and I U.S. savings bonds (Form 8815)	0
4	**Subtract line 3 from line 2. Enter here and on Form 1040, line 2b**	**1,116**

Exact amounts: $39.99 + $107.88 + $968.22 = $1,116.09; whole-dollar presentation as permitted.

Part II – Ordinary Dividends (Form 1099-DIV, box 1a)

5	Yellow Rose Bank – Lisa M. Smith (total ordinary dividends $6,744.05; qualified $4,897.86)	6,744
6	**Add the amounts on line 5. Enter the total here and on Form 1040, line 3b**	**6,744**

Part III – Foreign Accounts and Trusts

7a	At any time during 2024, did you have a financial interest in or signature authority over a financial account located in a foreign country? **No**
7b	If 'Yes', name of foreign country(ies): n/a
8	During 2024, did you receive a distribution from, or were you the grantor of, or transferor to, a foreign trust? **No**

8949

Sales and Other Dispositions of Capital Assets
Go to www.irs.gov/Form8949. Attach to Schedule D. Filed with Form 1040.

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** **SSN 333-44-5555 / 444-55-6666**

Part I – Short-Term Capital Gains and Losses (assets held one year or less)

Box (A) checked: short-term transactions reported on Form 1099-B showing basis was reported to the IRS (1099-B box 12 checked) and no adjustments needed.

(a) Description	(b) Acquired	(c) Sold	(d) Proceeds	(e) Cost/basis	(f) Code	(g) Adjustment	(h) Gain/(loss)
11 shares EXSTCK (L&R Investment Advisors)	03/08/2024	07/06/2024	57	6,751			(6,694)
Totals – Part I (to Sched. D line 1b, box A)			57	6,751		0	(6,694)

Part II – Long-Term Capital Gains and Losses (assets held more than one year)

Box (D) checked: long-term transactions reported on Form 1099-B showing basis was reported to the IRS (1099-B box 12 checked).

(a) Description	(b) Acquired	(c) Sold	(d) Proceeds	(e) Cost/basis	(f) Code	(g) Adjustment	(h) Gain/(loss)
18 shares BLU-FOR CORP (Retro Investing Company)	04/08/2019	08/25/2024	43,877	11,268	W	468	33,077
Totals – Part II (to Sched. D line 8b, box D)			43,877	11,268		468	33,077

Wash-sale adjustment: Form 1099-B box 1g shows $468.41 of wash-sale loss disallowed. Per Form 8949 instructions it is entered in column (g) as a positive adjustment with code W. See review memo for Robert's unusually low proceeds.

Sched. D

Capital Gains and Losses
Attach to Form 1040, 1040-SR, or 1040-NR. Filed with Form 1040.

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Part I – Short-Term Capital Gains and Losses

1a	Totals for all short-term transactions reported on Form 1099-B with basis reported and no adjustments (not used – Form 8949 used)	0
1b	Totals for all transactions reported on Form(s) 8949 with Box A checked: proceeds 57, basis 6,751, adjustments 0, gain/(loss)	(6,694)
2–3	Box B / Box C transactions	0
4	Short-term gain from Form 6252 and 4684, 6781, 8824	0
5	Net short-term gain or (loss) from partnerships, S corporations, estates, trusts (Schedule(s) K-1)	0
6	Short-term capital loss carryover (2023 Capital Loss Carryover Worksheet – none reported by clients)	0
7	**Net short-term capital gain or (loss). Combine lines 1a through 6**	**(6,694)**

Part II – Long-Term Capital Gains and Losses

8a	Totals for long-term transactions reported on 1099-B with basis reported and no adjustments (not used)	0
8b	Box D transactions on Form 8949: proceeds 43,877, basis 11,268, adjustments 468, gain/(loss)	33,077
9–10	Box E / Box F transactions	0
11–13	Form 4797, 6252, 4684, 6781, 8824; K-1s; capital gain distributions	0
14	Long-term capital loss carryover	0
15	**Net long-term capital gain or (loss). Combine lines 8a through 14**	**33,077**

Part III – Summary

16	**Combine lines 7 and 15. Enter here and on Form 1040, line 7**	**26,383**
17	Are lines 15 and 16 both gains? **Yes** – go to line 18	
18	28% rate gain worksheet amount (collectibles / §1202)	0
19	Unrecaptured section 1250 gain	0
20	Are lines 18 and 19 both zero or blank? **Yes** – complete the Qualified Dividends and Capital Gain Tax Worksheet (Form 1040 instructions). Lines 21 and 22 not completed.	

Wksht	**Qualified Dividends and Capital Gain Tax Worksheet** Form 1040 instructions, line 16 (2024). Supports Form 1040 line 16. Not filed separately.	Tax Year **2024** Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** **SSN 333-44-5555 / 444-55-6666**

1	Taxable income (Form 1040, line 15)	331,703
2	Qualified dividends (Form 1040, line 3a)	4,898
3	Smaller of Schedule D line 15 or 16 (not less than zero)	26,383
4	Add lines 2 and 3	31,281
5	Investment interest expense deduction (Form 4952 – none)	0
6	Subtract line 5 from line 4	31,281
7	Subtract line 6 from line 1	300,422
8	Threshold for 0% rate – married filing jointly	94,050
9	Smaller of line 1 or line 8	94,050
10	Smaller of line 7 or line 9	94,050
11	Subtract line 10 from line 9 (taxed at 0%)	0
12	Smaller of line 1 or line 6	31,281
13	Amount from line 11	0
14	Subtract line 13 from line 12	31,281
15	Threshold for 15% rate – married filing jointly	583,750
16	Smaller of line 1 or line 15	331,703
17	Add lines 7 and 11	300,422
18	Subtract line 17 from line 16 (not less than zero)	31,281
19	Smaller of line 14 or line 18	31,281
20	Multiply line 19 by 15%	4,692
21	Add lines 11 and 19	31,281
22	Subtract line 21 from line 12	0
23	Multiply line 22 by 20%	0
24	Tax on line 7 amount (2024 MFJ Tax Computation: $34,337 + 24% of excess over $201,050)	58,186
25	Add lines 20, 23 and 24	62,878
26	Tax on line 1 amount (same schedule: $34,337 + 24% of ($331,703 – $201,050))	65,694
27	**Smaller of line 25 or line 26. Enter here and on Form 1040, line 16**	**62,878**

Sched. 8812

Credits for Qualifying Children and Other Dependents
Attach to Form 1040. Filed with Form 1040.

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Part I – Child Tax Credit and Credit for Other Dependents

1	Amount from Form 1040, line 11 (AGI)	360,946
2a–2c	Puerto Rico / foreign income exclusions	0
3	Add lines 1, 2a, 2b and 2c (MAGI)	360,946
4	Number of qualifying children under age 17 with the required SSN (Robert III, Melissa, Judith)	3
5	Multiply line 4 by $2,000	6,000
6	Number of other dependents, including qualifying children without required SSN	0
7	Multiply line 6 by $500	0
8	Add lines 5 and 7	6,000
9	Threshold – married filing jointly	400,000
10	Subtract line 9 from line 3 (if zero or less, enter -0-)	0
11	Multiply line 10 (rounded up to next $1,000) by 5%	0
12	Subtract line 11 from line 8	6,000
13	Credit Limit Worksheet A: Form 1040 line 18 $62,878 less Schedule 3 lines 1–4 $539 = $62,339 (exceeds line 12)	62,339
14	**Smaller of line 12 or line 13. Enter here and on Form 1040, line 19**	**6,000**

Part II-A – Additional Child Tax Credit

16a	Subtract line 14 from line 12 ($6,000 – $6,000)	0
	Because line 16a is zero, Part II-A is not completed; Form 1040 line 28 = 0.	

2441

Child and Dependent Care Expenses
Attach to Form 1040, 1040-SR, or 1040-NR. Filed with Form 1040 (credit flows to Schedule 3, line 2).

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Part I – Persons or Organizations Who Provided the Care

1	(a) Care provider: **Children First Child Care Center of Texas**, 777 Childcare Way, Dallas, TX 75211 · (b) EIN **45-4564564** · (c) Amount paid in 2024 (all three children): **$2,240**	2,240

Part II – Credit for Child and Dependent Care Expenses

2	Qualifying person(s): (a) **Robert Smith III**, SSN 111-22-7777 – qualified expenses incurred and paid in 2024 **$820**; (b) **Melissa Smith**, SSN 222-33-7777 – **$820**. (Judith Smith, age 14, is not a qualifying person; $600 excluded.)	1,640
3	Add the amounts in column (c) of line 2 (limit $6,000 for two or more persons)	1,640
4	Your earned income (Robert: W-2 wages $234,934)	234,934
5	Spouse's earned income (Lisa: W-2 wages $92,069)	92,069
6	Smallest of line 3, 4, or 5	1,640
7	Amount from Form 1040, line 11 (AGI)	360,946
8	Decimal amount from table (AGI over $43,000)	.20
9	Multiply line 6 by line 8	328
10	Credit limit worksheet: tax liability limit (Form 1040 line 18 $62,878, less foreign tax credit $211)	62,667
11	**Credit for child and dependent care expenses – smaller of line 9 or line 10. Enter here and on Schedule 3, line 2**	**328**

Part III (dependent care benefits): not applicable – no benefits in W-2 box 10, so no Part III.

Assumption: childcare statement 'Robert Smith' = dependent Robert Smith III (DOB 4/7/2018). Monthly payments per statement: Jan–Apr $75, May–Dec $65 for each of Robert and Melissa = $820 each.

8959	**Additional Medicare Tax** Attach to Form 1040, 1040-SR, 1040-NR, or 1040-PR. Filed with Form 1040.	Tax Year **2024** Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** **SSN 333-44-5555 / 444-55-6666**

Part I – Additional Medicare Tax on Medicare Wages		
1	Medicare wages and tips (W-2 box 5): Company X $132,465.05 + Zixbo $102,468.69 + Compress MS $118,475.30	353,409
2	Unreported tips (Form 4137, line 6)	0
3	Wages (Form 8919, line 11)	0
4	Add lines 1 through 3	353,409
5	Threshold – married filing jointly	250,000
6	Subtract line 5 from line 4 (if zero or less, enter -0-)	103,409
7	Additional Medicare Tax on Medicare wages. Multiply line 6 by 0.9%	931
Part II – Self-Employment Income		
8–13	Self-employment income; Additional Medicare Tax on SE income	0
Part III – Railroad Retirement Tax Act		
14–17	RRTA compensation	0
Part IV – Total Additional Medicare Tax		
18	**Add lines 7, 13, and 17. Enter here and on Schedule 2 (Form 1040), line 11**	**931**
Part V – Withholding Reconciliation		
19	Medicare tax withheld (W-2 box 6): $1,920.74 + $1,485.80 + $1,717.89	5,124
20	Enter the amount from line 1	353,409
21	Multiply line 20 by 1.45%	5,124
22	Additional Medicare Tax withheld on Medicare wages (subtract line 21 from line 19; if zero or less, -0-)	0
23–24	RRTA withholding; total Additional Medicare Tax withholding (to Form 1040, line 25c)	0

8960

Net Investment Income Tax – Individuals, Estates, and Trusts
Attach to your tax return. Filed with Form 1040 (tax flows to Schedule 2, line 12).

Tax Year **2024**
Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** — **SSN 333-44-5555 / 444-55-6666**

Part I – Investment Income (section 6013 election not made; MFJ)		
1	Taxable interest (Form 1040 line 2b)	1,116
2	Ordinary dividends (Form 1040 line 3b)	6,744
3	Annuities	0
4a–4c	Rental, royalty, partnership, S corporation, trust income / nonpassive adjustment	0
5a	Net gain or (loss) from disposition of property (Schedule D line 16)	26,383
5b–5c	Net gain from partnerships/S corp. and adjustments	0
5d	Combine lines 5a through 5c	26,383
6	Adjustments for net gain or loss (section 1411(c)(1)(A))	0
7	Other modifications to investment income	0
8	**Total investment income. Combine lines 1, 2, 3, 4c, 5d, 6, and 7**	**34,243**
Part II – Investment Expenses Allocable to Investment Income		
9a–9d	Investment interest expense; state, local, foreign income tax; miscellaneous expenses	0
10	Additional modifications	0
11	Total deductions and modifications	0
Part III – Tax Computation (Individuals)		
12	Net investment income. Subtract line 11 from line 8	34,243
13	Modified adjusted gross income (Form 1040 line 11; no foreign earned income exclusion)	360,946
14	Threshold based on filing status – married filing jointly	250,000
15	Subtract line 14 from line 13 (if zero or less, enter -0-)	110,946
16	Enter the smaller of line 12 or line 15	34,243
17	**Net investment income tax for individuals. Multiply line 16 by 3.8%. Enter here and on Schedule 2, line 12**	**1,301**

8995	**Qualified Business Income Deduction – Simplified Computation** Attach to your tax return. Filed with Form 1040 (deduction to Form 1040, line 13).	Tax Year **2024** Preparer draft for senior review

Name(s) shown on return: **Robert Smith Jr. & Lisa Marie Smith** **SSN 333-44-5555 / 444-55-6666**

1	Trade, business, or aggregation: none (no QBI)	0
2	Total qualified business income or (loss)	0
3	Qualified business net (loss) carryforward from prior years	0
4	Total qualified business income	0
5	Qualified business income component. Multiply line 4 by 20%	0
6	Qualified REIT dividends and publicly traded partnership income (1099-DIV box 5: $214.79)	215
7	Qualified REIT dividends and PTP (loss) carryforward from prior years	0
8	Total qualified REIT dividends and PTP income. Combine lines 6 and 7 (not less than zero)	215
9	REIT and PTP component. Multiply line 8 by 20%	43
10	Qualified business income deduction before the income limitation. Add lines 5 and 9	43
11	Taxable income before qualified business income deduction (Form 1040 line 11 less line 12)	331,746
12	Net capital gain (qualified dividends $4,898 + smaller of Sch. D line 15/16 $26,383)	31,281
13	Subtract line 12 from line 11 (not less than zero)	300,465
14	Income limitation. Multiply line 13 by 20%	60,093
15	**Qualified business income deduction. Smaller of line 10 or line 14. Enter on Form 1040, line 13**	**43**
16–17	Total qualified business (loss) and REIT/PTP (loss) carryforwards to 2025	0

Supporting Workpaper – Source Document Tie-Out

Document	Payer / detail	Key amount(s) used	Where reported
W-2 (Robert)	Company X, EIN 12-1234567	Box 1 132,465.05; Fed w/h 9,642.23; SS 8,212.83; Medicare 1,920.74	1040 L1a, 25a; Sch 3 L11; 8959
W-2 (Robert)	Zixbo Services Group Inc, EIN 12-1234568	Box 1 102,468.69; Fed w/h 7,465.85; SS 6,353.06; Medicare 1,485.80	1040 L1a, 25a; Sch 3 L11; 8959
W-2 (Lisa)	Compress Middle School, EIN 33-3213213	Box 1 92,068.87; boxes 3/5 118,475.30; Fed w/h 8,286.20; SS 7,345.47; Medicare 1,717.89; 12a 26,406.43; 12b DD 57,342.01	1040 L1a, 25a; 8959
1099-INT (Robert)	Yellow Rose Bank	39.99	Sch B
1099-INT (Robert)	TX Lending Company	107.88	Sch B
1099-INT (Lisa)	Yellow Rose Bank	968.22	Sch B
1099-DIV (Lisa)	Yellow Rose Bank	Ordinary 6,744.05; qualified 4,897.86; box 5 Sec. 199A 214.79; foreign tax 211.05	Sch B; 1040 L3a/3b; Form 8995; Sch 3 L1
1099-B (Robert)	L&R Investment Advisors	Proceeds 56.78; basis 6,750.88; ST; basis reported	8949 Box A; Sch D L1b
1099-B (Lisa)	Retro Investing Company	Proceeds 43,877.03; basis 11,268.00; wash sale 468.41; LT; basis reported	8949 Box D; Sch D L8b
1098 (joint)	TX Lending Company	Mortgage interest 17,678.69; RE taxes 6,748.32; principal 565,774	Schedule A not used (itemized 28,727.01 < 29,200)
1098-E (Lisa)	TX School Lending Company	4,312	No deduction (MAGI phase-out)
Childcare statement	Children First Child Care Center, EIN 45-4564564	Paid 2,240; qualifying (2 children under 13) 1,640	Form 2441 → Sch 3 L2
LTC premium letter	Texas Insurance Company	5,500 + 5,500 paid 12/21/2024	Medical only; below 7.5% AGI floor
Estimated payments	Federal	3,380 (4/2/24); 3,275 (7/4/24); 3,455 (10/2/24); 3,575 (1/5/25)	1040 L26 total 13,685
Questionnaire	Intake form	Dependents, filing status, charity $2,500 + $1,800, classroom $730, no direct deposit	Various